

Andhra Pradesh Distillery (Manufacture of Indian made Foreign Liquor other than Beer and Wine) Rules, 2006

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State of Andhra Pradesh - Act

Andhra Pradesh Distillery (Manufacture of Indian made Foreign Liquor other than Beer and Wine) Rules, 2006

ANDHRA PRADESH

India

Andhra Pradesh Distillery (Manufacture of Indian made Foreign Liquor other than Beer and Wine) Rules, 2006

Rule

ANDHRA-PRADESH-DISTILLERY-MANUFACTURE-OF-INDIAN-MADE-FOREIGN-LIQUOR-OTHER-THAN-BEER-AND-WINE-RULES-2006 of 2006

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Andhra Pradesh Distillery (Manufacture of Indian made Foreign Liquor other than Beer and Wine) Rules, 2006

Published vide Notification No. G.O. Ms. No. 90, Revenue (Excise-3), dated 27.01.2007

Last Updated 25th September, 2019

No. G.O. Ms. No. 90. - In exercise of the powers conferred by Section 72 read with Sections 16, 17, 18, 21, 22, 23, 28 and 29 of the Andhra Pradesh Excise Act, 1968 (Act

17 of 1968

), and in supersession of all the rules on the subject, the Government of Andhra Pradesh hereby make the following

rules:-

Part-I Preliminary

1.

(1)

These rules may be called the Andhra Pradesh Distillery (Manufacture of Indian made Foreign Liquor other than Beer and Wine) Rules, 2006.

(2)

They shall extend to all areas where Andhra Pradesh Excise Act, 1968 is in force.

(3)

They shall come into force at once.

2.

(1)

In these rules the context otherwise requires-

(a)

"Act" means the Andhra Pradesh Excise Act, 1968.

(b)

"Assistant Commissioner" in relation to these rules, means an officer appointed under Sec. 5(1) of the Act.

(c)

"Distillery" means a manufactory where spirits are compounded, blended, processed, fortified and or diluted to produce Indian Made Foreign Liquor other than Beer and Wine and includes an operation for bottling of such liquor.

(d)

"Distillery Officer" means an Excise Officer appointed by the Commissioner to be in-charge of a distillery/manufactory and includes Assistant Distillery Officer so appointed.

(e)

"Excise Adhesive Label" means the label designed and approved by, and printed and supplied under the supervision and control of the Commissioner from time to time in different forms for the purpose of its affixture to sealed bottles of different varieties and sizes containing Indian Made Foreign Liquor other than Beer and Wine.

(f)

"Excise Supervision means" supervision over operations including manufacture of IMF1 in a manufactory by the members of the staff of Prohibition and Excise Department appointed in that behalf by the Commissioner or any Excise Officer duly empowered by the State Government or by the Commissioner in that behalf.

(g)

"Extra Neutral Alcohol" means the alcoholic liquid obtained by redistilling spirits and having the specifications prescribed in these rules.

(h)

"Fermentative Base" means molasses or the variety of grain or any other substance containing sugar or carbohydrates as may be notified by the Government from time to time from which manufacture of spirit is allowed.

(i)

"Form" means a form appended to these rules.

(j)

"Hologram" means a photographic image designed and approved by and printed and supplied under the supervision and control of the Commissioner from time to time in different forms for the purpose of its affixture to sealed bottles of different varieties and sizes containing Indian Made Foreign Liquor other than Beer and Wine,

(k)

"Gauge" means to determine the quantity of spirit contained in or taken from any cask or receptacle or to determine the capacity of any cask or receptacle.

(l)

"Indian Made Foreign Liquor" means liquor produced, manufactured or compounded in India after the manner of Gin, brandy, whisky or Rum imported from foreign countries and includes Milk punch and other liquors consisting of or containing any such spirit, but does not include, beer, wine and Foreign liquor.

(m)

"Licence" means a licence granted by the Commissioner under these rules in-

(i)

Form DM-2(M) to construct and work a manufactory by utilizing molasses based Extra Neutral Alcohol.

(ii)

Form DM-2(G) to construct and work a manufactory by utilizing grain based Extra Neutral Alcohol, (iii) Form DM-2(MGO) to construct and work a manufactory by utilizing both molasses and grain based Extra Neutral Alcohol or Extra Neutral Alcohol obtained from any other fermentative base as notified by the Government from time to time.

(n)

"Manufactory" means a unit where spirits are compounded, blended, processed, fortified and or diluted to produce Indian Made Foreign Liquor other than Beer and wine and includes an operation for bottling of such liquor.

(o)

"Maximum Retail Price (MRP)" means the price to be indicated by the Andhra Pradesh Beverages Corporation Limited or any other agency authorized by the Government for declaring on each variety of label by the manufacturers of Indian Made Foreign Liquor as required under Section 39 of Standards of Weights and Measures Act, 1976 and as defined in Clause © of Rule 2 of the Standards of Weights and Measures (Packaged Commodities) Rules, 1977.

(p)

"Milk Punch" means a comforting preparation made up of rum, sugar and milk as well as flavouring herbs and spices.

(q)

"Prove" means to test the strength of the spirit by Hydrometer or other suitable instrument.

(r)

"Rectified Spirit" means spirit having strength of 50 or more Over Proof.

(s)

"Spiced Spirit" means spirit redistilled after the addition of flavours and spices to plain spirit.

3.

Classification of Manufactories.

- The provisions of these rules shall apply to the manufactories established for the following purposes:

(a)

Manufacture of Indian Made Foreign Liquor utilizing Extra Neutral Alcohol obtained from Molasses as fermentative base.

(b)

Manufacture of Indian Made Foreign Liquor utilizing Extra Neutral Alcohol obtained from Grains as fermentative base.

(c)

Manufacture of Indian Made Foreign Liquor utilizing Extra Neutral Alcohol obtained from both Molasses and Grains or Extra Neutral Alcohol obtain from any other Fermentative base as notified by the Government from time to time.

Part-II Provisions Relating to Notification and Grant of Licence to a Manufactory

4.

(1)

No letter of intent for establishment of any new manufactory or expansion of the production capacity of an existing manufactory shall be issued without previous notification issued by the Government expressing the intention to grant the same from time to time.

(2)

A notification shall be issued by the Government separately from time to time for grant of Letter of Intent for establishment of a new manufactory or expansion of production capacity of an existing manufactory for different purposes mentioned in Rule 3.

(3)

Government may, by notification issued from time to time, withdraw their intention of granting Letter of Intent for establishment of new manufactory or expansion of the production capacity of the categories of existing manufactory for any of the purposes separately.

5.

(1)

No licence for manufactory shall be granted unless the same is notified and sanctioned under sub-rules (1) and (2) of Rule 4 of these rules.

(2)

Procedure for obtaining sanction of the Government:

(a)

on the notification issued by the Government under Rule 4(1) and (2), any person intending to construct and work such a manufactory or expand the production capacity of the existing manufactory, may apply in Form-DM(1) along with his scheme to the Government through the Commissioner.

(b)

(i)

No application mentioned in Clause (a) above shall be entertained unless a non-refundable and non-adjustable fee as specified below is paid into Government treasury and the challan in original in support of payment is produced along with the application.

Annual Production capacity of the proposed
manufactory

Non-refundable and non-adjustable Fee

Up to 50 lakhs Proof Liters.

Above 50 lakhs Proof Litres and up to 100 lakh Proof Litres.

Above 100 lakh Proof Litres.

Rs. 7 crores.

Rs. 10 crores

Rs. 12 crores

(ii)

A special fee as specified below shall also be paid into Government treasury and the challan in original in support of payment is produced along with the the application.

Annual production

capacity of the proposed manufactory

Special fee

Up to 50 lakhs Proof Litres.

Above 50 lakhs Proof Litres and up to 100 lakh Proof Litres.

Above 100

lakh Proof Litres.

Rs. 3 crores.

Rs. 5 crores.

Rs. 6 crores

(iii)

The special fee remitted under clause (ii) above shall be adjusted towards future licence fee or Excise Duty or both on commencement of production.

(c)

When the Government are satisfied of the proposed scheme, they may accord the sanction and communicate it in the form of Letter of Intent in Form-DM(S). This Letter of Intent shall be valid for a period of two years from the date of issue.

(d)

It shall be lawful for the Government to accept or reject without assigning any reason any application made for grant of Letter of Intent in pursuance of the notification under Rule 4(1) and (2) of these rules.

(e)

The holder of the Letter of Intent shall obtain a licence in Form DM-2(M) or DM-2(G) or DM-2 within six months from the date of issue of Letter of Intent.

(f)

If the holder of the Letter of Intent fails to obtain a licence within a period of six months from the date of issue of Letter of Intent, he ceases to have any right on the Letter of Intent.

(g)

If the holder of the Letter of Intent and Licence fails to commence production within two years from the date of issue of Letter of Intent, he forfeits his right over Letter of Intent and on the licence.

(h)

The Letter of Intent communicated under clause (c) shall not confer any right or privilege for grant of a licence and is liable to be revoked or withdrawn by the Government at any time without giving any notice to the holder if the Government so desires.

(i)

No compensation for damage or loss shall be payable when a Letter of Intent is rejected under clause (d) or revoked or withdrawn under Clause (h).

6.

Grant of Licence.

(1)

The holder of letter of intent shall obtain licence from the Commissioner within six months from the date of sanction of the Government in the form of Letter of Intent referred to in Rule 5(c).

(2)

The holder of letter of intent shall apply in Form-DM(I)(A) and the application shall be accompanied by:

(a)

Copy of the sanction (Letter of Intent) accorded by the Government.

(b)

Description and plans for the construction of the proposed manufactory.

(c)

Statement of plant and machinery proposed to be erected.

(d)

'No Objection Certificate' from the local body competent to issue.

(e)

'No Objection Certificate' from the competent authority under Factories Act, 1948.

(f)

Clearance Certificate from the A.P.Pollution Control Board*

(g)

An undertaking in the prescribed form on a non-judicial stamp paper of the requisite value as per the Indian Stamp Act binding himself that he shall erect the plant and machinery as per the standards, as may be prescribed by the Commissioner from time to time for maintaining the specifications and quality of products.

(h)

Counterpart Agreement in Form-DM(I)(C).

(3)

No licence shall be granted unless the applicant deposits Rs. 10 Lakhs in the shape of a cash deposit or fixed deposit receipt or Bank guarantee from any scheduled bank situated in Andhra Pradesh as a security for fulfillment of all the conditions of licence and enter into a counterpart agreement in Form-DM(I)(C).

(4)

(a)

Where the Commissioner is satisfied that the applicant for a new manufactory has fulfilled the conditions specified in sub-rules (1) to (3) above, he may grant a licence to the applicant in Form DM-2(M)/DM-2(G)/DM-2(MGO) as the case may be.

(b)

The license fee for a new manufactory shall be Rs. 20,000/-(Rupees twenty thousand only) per annum till the commencement of production or expiry of two years period from the issue of letter of intent which ever is earlier.

(c)

Where the Commissioner is satisfied that the applicant for expansion of production capacity of an existing manufactory has fulfilled the conditions specified in sub-rules (1) to (3) above, he may endorse the sanction of expansion on the existing licence.

(5)

The licensee shall, before expiry of two years from the date of grant of letter of intent, report to the Commissioner, the date on which the construction or expansion of manufactory is completed and the date from which its working is

commenced.

(6)

In case the licensee fails to construct or expand and work the manufactory before expiry of two years from the date of grant of letter of intent, the new licence or the expansion sanctioned under sub-rule 4(a) or 4(c) as the case may be shall be liable for cancellation without compensation for any damage.

7.

Existing Licenses under A.P. Distillery Rules 1970.

- The Andhra Pradesh Distillery Rules 1970 shall cease to operate on the commencement of these rules and all relevant licenses granted under Andhra Pradesh Distillery Rules 1970 for such purposes as categorised in Rule 3 of these rules shall be deemed to have been granted under these rules.

Provided that the licence fee in respect of the existing distilleries shall be paid by the licensees proportionately from the date of commencement of these rules.

8.

Licence fee structure.

(1)

The Government shall fix the Production capacity of the Manufactory.

(2)

The capacity of the equipment and devices for bottling of Indian made foreign liquor of a manufactory shall be according to the production capacity as fixed for the manufactory and shall be as per the specifications and norms as may be prescribed by the Commissioner from time to time.

(3)

The annual licence fee shall be fixed by the Commissioner basing on the production capacity in accordance with the licence fee structure prescribed here under.

Annual Production Capacity

Annual Licence Fee

1. Upto 20 lakhs Pls:

2. For every

additional 1 lakh Pl or part there of:-

Rs. 20,00,000/

Rs. 1,00,000/-

Provided that the production capacity fixed shall not be reduced under any circumstances:

Provided further that in case of new licensee granted under Rule 6(4)(a), the licensee commences manufacture from such date specified therein and the licence fee shall be as prescribed under sub-rule (3) proportionately on the production capacity for the remaining period of the licence:

Provided also that in case of expansion granted under Rule 6(4)(c) the licensee shall pay the license fee as prescribed under sub-rule (3) proportionately from the date of erection of expanded capacity for the remaining period of licence.

(4)

Whenever the licensed production capacity is fully utilized by the licensee before the completion of licensed year and if the licensee desires to have additional production during the remaining part of the licence year, the licensee shall take special permission from the Government for causing additional production over and above the fixed production capacity by submitting the requirement through Commissioner. On grant of such permission, the licensee shall pay the additional licensee fee on such additional production at the rate of Rs. 2/- (Rupees two only) per proof liter of additional production.

Part III ? Common Provisions Relating to Renewal Sub-Leasing, Shifting, Transfer and Merger of Licences

9.

Renewal of Licence.

(1)

Licence, granted under these rules, shall come into effect from such date as specified therein.

(2)

Licence shall ordinarily be for a period of one year.

(3)

The licensee shall get his licence renewed before the commencement of the Licence year, by paying the licence fee as

prescribed in Rule 8, other wise he is neither eligible to go into production nor permitted to transact any business.

(4)

If the licensee fails to apply for renewal by paying the specified fee before the commencement of the licence year, he shall pay the licensee fee along with late fee specified below for renewal of his licence.

Period

Late Fee

(1) Within six months from the date of commencement of licence year

(2) After six months from the date of commencement of Licence year.

5% of the Annual Licence Fee

10% of the Annual License Fee

Provided, if the licensee does not apply for renewal of licence within the licence year, he shall pay the annual licence fee for the entire period for which he does not have his licence renewed along with the late fee as specified above, subject to the condition laid down in sub-rule (7) of this Rule.

(5)

Every application for renewal of licence under these rules shall bear a court fee stamp of requisite value as specified in the Indian Stamp Act and shall be addressed to the Commissioner.

(6)

Where the Commissioner is satisfied that the licensee has fulfilled the conditions specified for renewal and that the manufacturing facilities on ground are not modified in any manner in deviation of the provisions of previous licence, he may renew the licence.

(7)

The right of the licensee to get his licence renewed stands forfeited if the licence is not renewed continuously for a period of 3 years.

10.

Excise Duty.

(1)

The Excise duty shall be paid at such rates as may be specified by the Government from time to time.

(2)

The licensee shall execute an agreement binding himself, his heirs, legal representatives and assignees to observe the conditions of licence, hypothecating the buildings, machinery, apparatus together with the stock as security for the payment of money which may be due to the Government.

11.

Sub-leasing of Manufactory.

(1)

The Commissioner may, on application made by the holder of a licence issued under these rules, permit sub-leasing the whole or part of the licensed capacity of such manufactory to the proposed sub-lessee.

(i)

No sub-lease shall be permitted unless:

(a)

A sub-lease fee of sum equal to 10% (ten percent) of the annual licence fee is remitted in Government treasury.

(b)

The licensee keeps a security deposit of an amount equal to 15% (Fifteen percent) of the annual licence fee of the Manufactory in the shape of Fixed Deposit Receipt or Bank Guarantee issued by any scheduled Bank situated in Andhra Pradesh in the name of the Commissioner.

(ii)

The proposed sub-lessee referred to in sub-rule (i) shall not be a person disqualified to hold a licence under the A.P.Excise Act, 1 968 and the rules made there under.

(iii)

The sub-lease permitted under sub-rule (i) shall be for a period of one year or part thereof and such sub-lease holder

shall not have any claim for renewal fo such sublease.

(iv)

The Commissioner may, for reasons to be recorded in writing, refuse to grant permission for sublease or withdraw the permission granted for sub-lease.

(v)

The licensee and the sub-lessee shall not have any claim for compensation towards any damage or loss sustained on account of non-sanction or withdrawal of permission for sub-lease.

(vi)

IF the original licence is suspended or cancelled for any reasons, the sublease shall also stand automatically suspended or cancelled as the case may be.

(vii)

An application for grant of permission for sub-lease shall be made in Form-DMI (SL) and shall be accompanied by:-

(a)

Sub-lease deed between the licensee and the proposed sub-lessee on a non-judicial stamp paper of then requisite value as per the provisions of the Indian Stamp Act, 1899, which shall be registered within 15 days from the date of grant of permission for sub-lease.

(b)

Memorandum of Articles of Association/partnership deed, declaration of sole proprietorship, as the case may be, of the licensee and the sub-lessee.

(c)

Lists of Directors/Partners, as the case may be, of both licensee and sub-lessee.

(d)

Undertaking in Form-DMI (SLU) on non-judicial stamp paper worth Rs. 100/- duly signed by the licensee and sub-lessee.

(e)

Original Challan as proof of having paid 10% (Ten percent) of annual Licence fee of the distillery towards sub-lease fee and fifteen percent of the annual licence fee as security deposit in the shape of Fixed Deposit Receipt or Bank Guarantee issued by a Scheduled Bank situated in Andhra Pradesh in the name of the Commissioner.

(viii)

The sub-lease granted under sub-rule (1) is not transferable.

(ix)

The licensee and sub-lessee shall be jointly and severally responsible for all the acts of omissions and commissions of the sub-lessee.

(x)

The Sub-lessee shall be responsible for payment of all duties, taxes and fees etc. payable to the Government pertaining to the period of sub-lease. In case the sub-lessee fails the same shall be recovered from the licensee.

(2)

The security deposit as contemplated under sub-rule (I)(i)(b) shall be valid for the lease period or till the dues are paid to the Government whichever is later.

(3)

All the outstanding duties, taxes, fees or any other dues payable to the Government shall be recovered from the security deposit and the balances if any shall be recovered from the sub-lessee and licensee as if they were arrears of land revenue.

(4)

The fixed deposit Receipt or the Bank Guarantee produced as security deposit shall be returned to the licensee after the clearance of all the dues to the Government by the sub-lessee and licensee.

12.

Shifting of Existing Manufactory.

(1)

Where the management od a Manufactory intends to shift the Manufactory from the place to another place, it shall notify the same to the Commissioner by an application in Form-DM3 after remitting an amount of Rs. 2.00 Lakh (Rupees two

lakh only) in the Government treasury and enclose the challan in original in support of payment along with the application.

(2)

On receipt of such an application the Commissioner if satisfied, may obtain such undertaking or Bond and such other material or documents to protect the interest of the Government as he may deem fit, may grant such permission after obtaining the orders from Government for the shifting of the manufactory.

13.

Change or alteration of licence.

(1)

Transfer of Licence:-

(i)

No licensee shall except with the sanction of the Commissioner transfer his license to any other person. The Commissioner may allow such transfer of license on payment of prescribed fee and on production of certificate to the effect that no cases involving contravention of Excise Act and Rules framed there under are pending against him and also on production of Sales Tax and Income Tax clearance certificates.

(ii)

Where there are only two partners in the firm holding the licence and one of them withdraws or expire the entity of firm changes from partnership of proprietary and it amounts to transfer of licence,

(iii)

Conversion of a proprietary concern into a firm or a company or a firm into a company and vice versa shall amount to transfer of licence.

(iv)

The Commissioner on payment of a fee of Rupees Two lakhs and on obtaining such undertaking or Bond and such other material or documents to protect the interest of the Government as he may deem fit, may grant such permission for the transfer of the licence in the cases referred in clause (ii) and (iii) above.

(v)

Where there is a change of 50% or more partners, it shall be construed as complete change in the ownership, a fee amounting to 10% of the licence fee shall be paid.

(2)

Inclusion or exclusion of partners: No licensee shall except with prior permission of the Commissioner get any person included as a partner to his business or get an existing partner excluded.

(3)

Death of licensee or incapability of the licensee: A licence, issued under these rules, shall be only to the person named therein and on his death the legal heirs, may apply for continuance of the licence in their name to the Commissioner within thirty days of death of the licensee. If the Commissioner is satisfied he may permit the legal heirs to continue the licence in the name of such legal heirs.

(4)

Merger of licence:

(i)

When licensees of two or more existing manufactories subject to provisions of Rule 13(1) desire to merge into one manufactory may apply to the Commissioner in Form-DM3 (M) along with a challan for Rupees two lakhs.

(ii)

On receipt of such an application the Commissioner if satisfied, may obtain such undertaking or Bond and such other material or documents to protect the interest of the Government as he may deem fit, may grant such permission after obtaining the orders from the Government for the merger of the manufactories.

Part-IV Provision Relating to Bottling of Liquor and Labelling

14.

Bottling of Liquor.

(1)

Operations concerned with the filling of bottles with liquors for issue shall be conducted in bond under the supervision of the Distillery Officer in separate room called 'Bottling room' for liquor set apart for the purpose, near the spirit store.

(2)

Bottled spirit shall be stored in separate rooms called the "bottled spirit store for liquor" set apart for the purpose near the bottling rooms.

(3)

The bottling rooms and the bottled spirit store-rooms shall be secured in such manner as the Commissioner may approve. In the bottling room, bottling vats may be erected and spirits may be stored therein.

(4)

Liquor shall be bottled at the strength specified by the Commissioner from time to time.

(5)

A tolerance of + 0.5 PS is allowed in the manufacture of Indian Made Foreign Liquor.

(6)

Sample from each batch shall be sent to the Chemical Examiner and it shall be passed by the Chemical Examiner if the strength is within the tolerance limit of 24.5 UP to 25.5 UP. Samples falling beyond the tolerance limit shall not be passed by the Chemical Examiner.

(7)

No bottling shall be allowed unless the sample is passed by the chemical examiner and a report to that effect is issued.

(8)

Bottling shall be done during the ordinary working hours of the manufactory.

(9)

The licensee shall not bottle liquor before expiry of 24 hours from reduction of spirit by blending is affected.

(10)

No bottling shall be allowed except in the joint presence of the Excise Officer and a representative of the licensee.

(11)

Bottling shall be done in bottles as may be prescribed by the Commissioner from time to time.

(12)

The bottles mentioned in sub-rule (11) shall be standard pattern and shall bear the following specifications molded on the glass:

(a)

the figures and words of the capacity'.

(b)

a line across the neck up to which the bottle shall be filled in order to contain the proper quantity.-Provided that in addition to glass Bottles, pet bottles and Tetra pack Cartons duly certified by Central Food Technological Research Institute as fit for preservation, shall also be allowed for packing of Indian Made Foreign Liquor.

(13)

The licensee shall not use bottles bearing the name or trade marks of any other bottle or any other manufactory.

(14)

The licensee shall use wax-finished capsules to the bottles filled with liquor.

(15)

An account of spirit received and used for bottling shall be maintained in Form-DM4.

(16)

The licensee shall not keep the blend in vats for more than six months without bottling.

15.

Labelling of liquor bottles.

(1)

The licensee shall label each bottle after bottling with a label printed in English or Telugu language showing the name of the licensed manufactory and the place where the bottling is done.

(2)

The labels shall be affixed to the liquor bottles only after such labels are approved by the Commissioner.

16.

Approval of Labels.

(1)

The licensee shall submit an application in Form-DM5 to the Commissioner through the Assistant Commissioner (Distilleries) duly affixed with Court fee stamp of requisite value as per the provisions of Indian Stamp Act, 1899 and shall enclose with ten copies of each variety of label sought to be approved.

(2)

No application referred in sub-rule (1) shall be entertained unless the licensee remits the label approval fee as specified below and the challan in support of the payment is produced with the application.

(a)

Rs. 2,00,000/- (Rupees two lakh only) in respect of each variety of brands of liquor whose basic price is up to Rs. 700/-

(b)

Rs. 50,000/- (Rupees fifty thousand only) in respect of each variety of brands of liquor whose basic price is above Rs. 700/-

(3)

The licensee shall also get the label re-approved for each licensed year by paying the label fee specified in sub-rule (2). Provided that if a particular label was approved in a year, the stocks bearing such label are laying unsold in the warehouse, the licensee need not get such label re-approved for the purpose of their release of such stock in the subsequent year.

(4)

The format of the label shall contain the following:

(i)

Name and address of the manufacturer.

(ii)

Batch Number, Month and Year of Manufacture

(iii)

Net contents

(iv)

Proof strength (v) Kind of liquor

(vi)

Maximum Retail Price (M.R.P. shall be incorporated in the label after the same is indicated by the Andhra Pradesh Beverages Corporation Limited.)

(vii)

Details of manufacturing under sub-lease arrangements.

(viii)

Maximum Retail Price (MRP) shall be prominently depicted on a separate band on the top of the label.

(ix)

Inscription "Consumption of Liquor is injurious to Health".

(5)

In case of supply of liquor to canteen stores department, the licensee get each variety of label approved separately by paying the label fee as specified in sub-rule (2).

(6)

The label fee once remitted and the label was duly approved it shall not be refunded or adjusted for any reason including withdrawal or cancellation of rate contract by the Andhra Pradesh Beverages Corporation Limited or non-issue of purchase orders.

(7)

Labels bearing the words 'Special' shall be used only on the bottles containing liquor manufactured with spiced spirit.

(8)

Labels bearing the words 'Old' shall be used only on the bottles containing liquor manufactured with spirit which has been matured for more than one year in the bond.

(9)

The manner and the contents of the label shall be in the form as may be specified by the Commissioner from time to time.

17.

Affixture of Excise Adhesive Labels.

(1)

The licensee shall affix each sealed bottle of liquor with the Excise Adhesive Label supplied by the Excise Officer. The Excise adhesive labels shall be affixed over the cap of the sealed bottle in such a way as to make it impossible to remove the label without damaging it or to remove the cap without damaging the label. The Excise adhesive labels shall be affixed during the ordinary working hours of the distillery in the joint presence of the Excise Officer and a representative of the licensee. No bottle containing liquor without the Excise adhesive label shall be issued from the manufactory.

(2)

The Excise Officer shall issue only such number of adhesive labels as are required for affixture on the bottles of liquor produced every day.

(3)

The Excise Officer shall maintain an account of Excise Adhesive Labels in such form as may be prescribed by the Commissioner from time to time.

(4)

The licensee shall also affix each sealed bottle of the liquor with the 'Hologram' supplied by the Excise Officer.

Part-V Provision Relating to Regulation and Supervision

18.

General.

(1)

On granting a licence under these rules, the licensee shall furnish a duplicate copy to the Asst. Commissioner concerned of the descriptions, plans and statements as approved by the Commissioner.

(2)

Every licensee shall exhibit his licence or a copy of the Licence and an approved copy of the plans in a conspicuous part of the licensed premises.

(3)

The licensee shall not hypothecate the whole or any part of the licensed premises without the prior written sanction of the Commissioner.

(4)

The licensee shall extend full assistance to any Excise Officer authorized by the Commissioner to inspect the distillery at any time.

(5)

The licensee shall provide accommodation for the office of the distillery officer and his staff within the licensed premises and extend required assistance to the Excise Officer in carrying out his duties.

(6)

The licensee shall conduct his business either personally or by an agent authorized by him in this behalf and the information of such authorization shall be intimated to the Distillery Officer, Assistant Commissioner and the Commissioner.

(7)

The licensee shall maintain the registers which are required under these rules and shall submit them for inspection by Excise Officers concerned as and when required.

(8)

The licensee shall provide Hydrometer, Thermometer and other measuring instruments and other required instruments as specified by the Commissioner.

(9)

The buildings, plant and machinery specified in the licence, shall be maintained properly and cleanly to the satisfaction of the Commissioner. No alterations or additions shall be made without prior sanction of the Commissioner.

(10)

Every process connected with manufacture, issue of liquors shall be conducted within the licensed premises.

(11)

Every person leaving the manufactory shall be liable to be searched under the orders of Excise Officer in-charge of the

unit. The Excise officer shall use these powers with discretion. No respectable person shall be subjected to search except on valid grounds. All cases of search of persons other than the workers shall be recorded by the Excise Officer in his diary and shall report the matter to the Assistant Commissioner immediately.

(12)

Where the Commissioner is not satisfied as to the maintenance of the building, plant and machinery including the measures and other appliances, he may require the licensee to stop working of the manufactory and direct to rectify the defects within one week.

19.

Requirements within the Manufactory.

(1)

The manufactory premises shall be closed by a compound wall with sufficient protection to prevent undue access into the licensed premises from outside.

(2)

Naked lights of any description shall not be used within the manufactory. All electrical fittings shall be maintained and fitted with flame proof equipment.

(3)

Fire extinguishers shall be installed at suitable places as to enable easy handling in case of an emergency.

(4)

All pipes from sinks and wash basins inside the manufactory shall discharge into closed drains forming part of the general drainage system of the premises.

(5)

The licensee shall maintain a laboratory with required infrastructure to formalize the working of the manufactory with regard to quality of liquors manufactured.

(6)

The licensee shall install a weigh bridge attached with a tachometer for recording of weight of casks. The machine shall be sealed by the Excise Officer.

(7)

There shall be a separate room set apart for storage of raw materials.

(8)

There shall be a separate room for storage of spirits.

(9)

If the licensee intends to deal with the matured spirits, there shall be a separate 'matured spirit warehouse'.

20.

Working conditions of the Distillery.

(1)

Except as provided herein the manufactory shall be kept open during the ordinary working hours.

(2)

No manufactory shall be open for work on a Sunday or other public holiday except with the sanction of the Commissioner which may be given at least one day in advance.

(3)

If the manufactory works on Sunday or other public holiday, Excise Officer shall be present and shall make adequate arrangements for regulating the entry or exist of persons at fixed hours in connection with the working of the manufactory.

(4)

Where the manufactory is to be worked at hours other than the ordinary working hours, the licensee may do so only on obtaining permission from the Commissioner. Provided that if the total extra hours to be sanctioned on any day is more than the normal working hours i.e. 8 hours, it shall be sanction with the prior approval of the Government.

21.

Arrangement of vessels, storage tanks and Receivers.

(1)

All vessels, storage tanks, vats shall be situated within the licensed premises.

(2)

All vessels containing Spirit shall be so kept as to admit of easy inspection and test the strength of the contents.

(3)

Each vessel shall have legibly painted on it in English or in Telugu language its number, capacity and the use to which it is applied, and its details shall be properly registered by the Excise Officer.

(4)

Store vats shall be separately set apart and used for the storage of each of the following different kinds of spirits:

(a)

Extra Neutral Alcohol manufactured by re-distilling molasses based Rectified spirit,

(b)

Extra Neutral Alcohol manufactured by re-distilling Grain based Rectified spirit.

(c)

Extra Neutral Alcohol manufactured by re-distilling Rectified spirit obtain from any other fermentative based.

(d)

Malt spirit.

(e)

Plain spirit.

(f)

Spiced spirit.

(5)

The vessels used as receptacle may be of any material. They shall be of regular shape. Large covered vessels shall be fitted with mantles of a size approved by the Commissioner and every vessel shall be provided with proper approved arrangements for gauging with rods and with tables showing the number of liters contained in them, when filled to every tenth of centimeter by either the wet or the dry method of gauging, according as the Commissioner decides to apply one or the other method to such vessel. When the wet method of gauging is applied to any vessel a permanent dipping rod of a pattern approved by the Commissioner shall be fixed in a manner approved by him to that part of the vessel where there is the greatest depth of liquid in it.

(6)

It is the responsibility of the licensee to prevent any leakage from the pipes and arrange facility to examine the pipes intended for conveyance of Blend and spirit throughout the entire length.

(7)

Any vat, pipe or other part of the plant is at any time found defective or leaking, the Commissioner may order the discontinuance of its use and it shall not be used again until it has been repaired to the satisfaction of the Commissioner.

(8)

Except with the special sanction of the Commissioner in the case of a receptacle sunk under the ground level, each vessel shall be fixed so as to permit examination all round it, it shall slope slightly down to its cock, and its cock shall be so fitted that the vessel can drain entirely through the cock without being moved.

(9)

No receptacles of which the contents are estimated by a gauge rod, shall be brought originally into use, till it has been certified by the competent authority and a tab!_ book has been prepared for it.

(10)

Store vats shall be kept in a room or building set apart entirely for them and provided with only one door. Such room or building shall be named as the storeroom or a warehouse, and shall be under the lock and key of the licensee as well as the Excise Officer.

(11)

All vessels in the warehouse whether used as spirit vats or water vats, shall be so placed as to admit of the contents being accurately gauged or measured and shall be fitted with proper dipping rods so adjusted to fix dipping places that the contents may, at any time, be ascertainable.

(12)

The licensee shall provide store vats, having an aggregate capacity equal at least to one half of the maximum spirit required in a month during the year.

(13)

The Excise Officer shall maintain a register showing the daily account of Liquors produced in Form-DM6.

(14)

Vats shall ordinarily be used for storage of spirits, but a limited number of casks may be kept in the storeroom for the storage of special kinds of spirits.

(15)

Casks shall be so arranged in the said warehouse as to allow easy access to chem, in order that a correct account of their contents may be taken at any time and leakages may be readily discovered.

22.

Drawl of samples.

- The licensee shall, when required permit samples of the material used or liquor manufactured to be taken for analysis under the orders of the Commissioner or by any officer authorized by him to take samples. Each sample shall be taken in three 5ml bottles or when the material cannot be placed in bottles, in three parcels, in the presence of a representative of the licensee; each bottle or parcel shall be immediately and securely sealed in the presence of the Excise Officer and the licensee's representative. One bottle or parcel shall then be made over to the licensee's representative, the second shall be sent for analysis and the third be kept by the Excise Officer, pending disposal of the case.

23.

Wastage allowed in a distillery.

(1)

The deficiency of spirit allowed in storage including storage for maturation, storage after reduction and as blend shall not exceed 2% (two percent) for each period of three months.

Provided that if the spirit is drawn from storage for manufacturing operations during the course of a period of three months, the loss shall be determined proportionately against the ceiling of two percent for three months.

(2)

Transit loss of spirit transported including losses due to evaporation during transit shall not exceed 0.5% (half percent) of the quantity transported in each consignment.

(3)

The loss of spirit in manufacturing operations including filtration, colouring, bottling and the like shall not exceed 2.5% (two and half percent) to be reckoned on the quantity of spirit taken for each day.

(4)

The licensee shall pay the Excise duty at the then existing rate on the deficiencies of spirit in excess of the limits specified above.

24.

Removal of Liquors.

(1)

No liquor manufactured or stored otherwise than that under bond shall be removed unless the Excise duty as specified in Rule 10 (if not reduced or exempted by an order of competent authority) and cost of excise adhesive labels as specified by Commissioner from time to time has been paid by the Licensee before such removal.

(2)

No Indian Made Foreign Liquor shall be issued in quantities of less than 90 litres

(3)

No bottled Liquor shall be removed unless it is properly packed to withstand a road journey.

(4)

On payment of Excise Duty and cost of Excise Adhesive Labels, a transport permit for removal of liquor shall be granted by the Excise Officer In-charge of the unit in favour of the following persons only:-

(i)

The Andhra Pradesh Beverages Corporation depots located in the State as per the purchase orders given by the Corporation.

(ii)

Persons holding a licence in any other State for sale of liquor by whole sale or retail on production of a valid permit

issued by the Commissioner.

(iii)

Person holding licence in Form-CS. 3 under Andhra Pradesh Excise (Grant of licence of selling by In-house and conditions of Licence) Rules, 2005.

(5)

Every application for a Transport permit for the removal of spirit or liquor shall be made in writing to the Excise Officer and shall be accompanied by a challan in original in support of payment of Excise duty therefore and another challan in support of payment of cost of excise adhesive labels at the rate specified by the Commissioner of Excise from time to time and the certificate or permit required under the foregoing rules, such certificate or permit being either a general or a special one for the purpose of a single removal.

(6)

The licensee shall present the treasury receipt in token of his having paid the Excise duty and cost of Excise adhesive labels to the Excise Officer.

(7)

The licensee shall be responsible for the correct and full payment of the Excise duty due on the Indian Made Foreign Liquor to be removed. But if he is in doubt as to the amount of such Excise duty, he may, prior to its payment in the treasury, apply to the excise officer for a revision of calculation.

(8)

If the Distillery Officer is satisfied that the applicant is entitled under these rules to remove Indian Made Foreign Liquor and that the Excise duty and the cost of Excise adhesive labels has been paid, he shall issue Indian Made Foreign Liquor under a permit in Form-DM 7 sending a copy to the concerned Prohibition and Excise Superintendent of destination.

25.

Issue of spirit for laboratory purpose.

(1)

If the licensee requires spirit or blend for the use in the laboratory attached to the manufactory, he shall be entitled to remove spirit to the laboratory without payment of any excise duty, to the extent of 5 Litres (five liters only) per month.

(2)

The spirit so removed under sub-rule (1) shall not be used in the laboratory otherwise than for experimental work connected with the manufactory operations.

(3)

An application for every quantity of spirit required under this rule shall be made in writing to the Excise officer, who shall record thereon, the quantity and the strength of the spirit taken and record the same in the relevant registers of the distillery.

(4)

The licensee shall keep a regular account of spirit taken under this rule which shall be subject to the examination of the Excise officer.

(5)

If the spirit removed under this rule is used otherwise than as permitted, it shall be liable for excise duty.

26.

Removal of spirit for maturation.

(1)

An application for removal of spirit from the store room to the matured spirit warehouse shall be made in writing to the distillery officer, specifying the serial number of each cask and its full capacity and the quantity and strength of the spirit it contains.

(2)

No cask of less than 40 liters shall be moved for deposit in the matured spirit warehouse.

(3)

While removing spirit, the tare or empty weight of each cask shall first be ascertained and the cask shall thereafter be filled with the spirit intended for removal and the capacity determined in the manner specified by the Commissioner. Any quantity from full cask may be drawn before the removal is made. In that case, the quantity remaining in the cask shall

be reckoned by deducting the measured quantity from the ascertained full capacity.

(4)

All particulars of gauge and proof shall be recorded at the time of removal in the appropriate column of the warehouse register instead of one the pass, as in the case of ordinary issues. The quantity removed in proof liters shall be shown as transferred to the warehouse in the appropriate column of the issue register but the removal shall not be classed with the issue.

(5)

on each sides of the every cask removed from the store-room for deposit in the matured spirit warehouse, shall be legibly painted with oil colour, the progressive number of the cask, beginning with number one on the first of January of each year, and the calendar year in which the deposit is made, and the full capacity in liters.

(6)

No pass be necessary to cover transport from the spirit Store-room to the matured spirit warehouse.

(7)

Immediately after preparation for removal has been completed, the Distillery Officer shall see that the cask or casks safely deposited in the said warehouse.

(8)

Each cask deposited in the warehouse shall be closed with a bung of hard wood, fitted flush with the outside of the bung stave.

(9)

Reduction of the contents of a cask shall not be permitted in the matured spirit warehouse. Removals from the warehouse shall be made to the storeroom, where reduction can be effected before the spirit is finally issued from the distillery.

(10)

No removal of part of the contents of a cask is permitted from the matured spirit warehouse to the store-room.

(11)

Removal shall be made from the Matured spirit warehouse to the store-room on the written application of the licensee specifying the progressive number of the cask, the year in which it entered the warehouse and quantity available in the cask and the strength thereof.

27.

Blending or reduction of plain spirit may be permitted in the store vats, provided the blending or reduction is done in the presence of the Excise Officer and under his supervision. Blending or reduction of any other essential ingredient of a high quantity may be done at the time of issue in the special issue room as hereafter provided. Essence used for blending or water used for reduction must be pure; and the licensee shall comply with the directions of the Commissioner issued in respect of .maintaining the quality of essential ingredients including water or any other material used for the purpose.

28.

The colouring or compounding of spirit, except in the case of spirit coloured or compounded in the store-room in a special vat set apart and used only for the storage of such spirit, shall take place only at the time of issue and in a special room to be provided for the purpose by the licensee near the exit from the manufactory premises. All colouring and compounding materials brought into the manufactory shall be kept in this room and registered as to their quantity and character and shall be subject to check and the licensee shall not use any materials which are disapproved by the Commissioner.

29.

Any stock whether, bottled or in bulk if proved unfit for human consumption after chemical Analysis due to sedimentation or otherwise in storage and the licensee desires that such stock be re-processed, the licensee shall take the permission of the Commissioner for reprocessing such stocks to make it fit for human consumption and on receipt of the proposals from the licensee for re-processing, the Commissioner shall examine the proposals and accord permission for re-processing of such stocks.

30.

The quantum of ENA required by the manufactory per month will be fixed by the Commissioner. The Commissioner while fixing the quantum shall take into consideration the production capacity of the manufactory.

31.

The licensee shall not advertise his products by extolling their merits or in any other objectionable manner.

32.

Registers to be maintained.

- The following registers have to be maintained in every Indian Made Foreign Liquor manufactory:

(1)

ENA Stock registers.

(2)

Allotment and lifting of ENA Register.

(3)

Malt spirit stock register.

(4)

Grape spirit/other spirits stock Register.

(5)

Blend Account Register.

(6)

Bottling operations Register.

(7)

Brand wise stock Register.

(8)

Consolidated stock Register of finished stock.

(9)

Issues Register.

(10)

EAL Stock Register.

(11)

Utilization of EALs Register.

(12)

Sample Register.

(13)

Purchase order Register.

(14)

Distillery Gate pass Register.

(15)

Excise Duty/user charges Register.

(16)

Reconciliation Register.

The licensee shall also maintain the registers prescribed by the commissioner from time to time.

Part-VI Provisions Relating to Hygienic Conditions and Quality of Liquors

33.

The licensee shall maintain the following hygienic conditions in the manufactory:

(1)

The structure of the building of the manufactory shall be of permanent nature and shall be designed as to provide sufficient space for equipment and material storage and facilitate carrying out process operations in hygienic manner.

(2)

No portion of the manufactory building shall be used for domestic purposes or other food preparations.

(3)

Blending equipments shall be cleaned regularly to prevent contamination.

(4)

The flavouring material used shall be free from contamination.

(5)

Proper care must be taken to cover the vats and vessels.

(6)

Tanks in the storage room for ENA should be of mild steel/stainless steel material. They should be cleaned and maintained in such a way as to prevent corrosion.

(7)

Quality of de-mineralized water plant should be properly maintained with anionic, cationic and mixed beds for proper treatment of water.

(8)

The tanks with agitators and pipe lines in blending room shall be constructed with wood vats, stainless steel material. The pumps shall be flame proof. Tanks and pipe lines shall be earmarked for a particular product to prevent contamination from one product to another. Pipes and fittings shall be leak proof. Caramel and food flavours shall be properly marked to prevent mix up. Motors driving the agitators shall be placed to prevent dripping oil into the tanks. Filter paper used for filtration of liquor shall be calcium free.

(9)

All bottles shall be thoroughly cleaned immediately before filling by automatic/semi-automatic washing machines. Washing shall be accomplished by pre-rinse and final rinse. For final rinse de-chlorinated potable water shall be used. Bottles should be thoroughly drained after rinse so that strength of liquor is not affected after filling. Water jets in the washing machine should be so designed that the jet pressure so maintained as to thoroughly rinse the whole internal and external surface area of the bottles. Wash water in the bottle washer should be thoroughly drained and changed frequently to prevent algal growth.

(10)

Whenever second hand bottles are being used, all the bottles should be pre-washed prior to feeding to the bottle washer. This should be done in the following manner:

(a)

Pre-rinse first soaking in a tank to remove labels and other extraneous matter.

(b)

Rinse in the second tank with hot water around 60°C and 3% caustic solution at 60°C using brushes to clean the interior and exterior of bottles thoroughly.

(c)

Final rinse in the third tank with potable water; and then

(d)

Feed the bottles to the bottle washer.

(11)

Filler nozzles shall be of stainless steel material with poly liners or PVC to prevent chipping of bottles. Filler bungs above the nozzles shall be cleaned every day and periodically replaced to prevent particular matter settling into liquor. Filling of the product into bottles can be automatic/semi automatic filler. Liquor falling on line due-to breakage of bottles should be immediately cleaned and broken glass taken off to prevent contamination.

(12)

The licensee shall erect the plant and machinery as per the standards, as may be prescribed by the Commissioner from time to time for maintaining the specifications and quality of products.

34.

The distilleries licensed under these rules shall maintain the quality of spirits as specified hereunder:

A. Specifications for Extra Neutral Alcohol:

(a)

Relative density at 20/20°C.....0.80692

(b)

Ethanol percent (v/v at 20°C) minimum.....96%

(c)

Ethanol Miscibility with water.....Miscible

(d)

Acidity as acetic acid, g/100 lt., absolute alcohol, Max.....1.5

- (e)
Residue on evaporation, g/100 Lt., absolute alcohol, Max.....1.5
- (f)
Esters as CH₃ COOC₂H₅, G/100 Lt., absolute alcohol, Max.....1.3
- (g)
Lead, g/100 Lt., absolute alcohol, Max.....0.1
- (h)
Methyl alcohol g/100 Lt. of absolute alcohol.....50
- (i)
Furfural.....Not detectable
- (j)
Aldehyde as acetaldehyde g/100 Lt. of absolute alcohol, Max.....0.0005
- (k)
Permanganate reaction time (in minutes).....30
- (l)
Copper (as Cu), g/100 Lt.....0.002
- (m)
Higher alcohol as iso-amyl alcohol, g/100 Lt.....30
- B. Specifications for whiskies:
- (a)
Residue on evaporation, percent (m/v), Maximum:
Malt/Grain whisky.....2
Blended Malt/Grain whisky.....2
Whisky.....2
- (b)
Volatile acids as acetic acid (expressed in terms of g/10 litres of absolute alcohol, Maximum:
Malt/Grain whisky.....150
Blended Malt/Grain whisky.....100
Whisky.....50
- (c)
Esters as ethyl acetate (expressed in terms of g/100 litres of absolute alcohol) Maximum:
Malt/Grain whisky.....200
Blended Malt/Grain whisky.....150
Whisky.....100
- (d)
Higher alcohols as amyl alcohol (expressed in terms of g/100 litres of absolute alcohol), Maximum:
Malt/Grain whisky.....NIL
Blended Malt/Grain whisky.....750
Whisky.....350
- (e)
Aldehydes as acetaldehyde (expressed in terms of g/100 litres of absolute alcohol), Maximum:
Malt/Grain whisky.....50
Blended Malt/Grain whisky.....35
Whisky.....15
- (f)
Furfural (expressed in terms of g/100 litres of absolute alcohol) Maximum:
Malt/Grain whisky.....12
Blended Malt/Grain whisky.....6
Whisky.....6
- (g)
Copper (as Cu), parts per million, Maximum:

Malt/Grain whisky.....10

Blended Malt/Grain whisky.....10

Whisky.....10

(h)

Methyl alcohol (expressed in terms of g/100 litres of absolute alcohol), Maximum:

Malt/Grain whisky.....30

Blended Malt/Grain whisky.....20

Whisky.....10

Explanation. - (i) Malt or Grain whisky shall be the alcoholic distillate produced from fermented mash of malted or un-malted cereals or mixture of both.

(ii)

Blended malt or grain whisky shall be a mixture of at least 2% malt or grain whisky.

(iii)

Whisky shall be made from neutral spirit.

C. Specifications for Brandies:

(a)

Residue on evaporation, percent (m/v), Maximum:

Grape Brandy.....2

Blended Grape Brandy.....2

Brandy.....2

(b)

Volatile acids as acetic acid (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Grape Brandy.....100

Blended Grape Brandy.....100

Brandy.....100

(c)

Esters as ethyl acetate (expressed in terms of g/100 litres of absolute alcohol) Maximum:

Grape Brandy.....200

Blended Grape Brandy.....150

Brandy..... 100

(d)

Higher alcohols as amyl alcohol (expressed in terms of g/ 100 litres of absolute alcohol), Maximum:

Grape Brandy.....600

Blended Grape Brandy.....350

Brandy.....200

(e)

Aldehydes as acetaldehyde (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Grape Brandy.....45

Blended Grape Brandy.....45

Brandy.....15

(f)

Furfural (expressed in terms of g/100 litres of absolute alcohol) Maximum:

Grape Brandy.....12

Blended Grape Brandy.....12

Brandy.....12

(g)

Copper (as Cu), parts per million, Maximum:

Grape Brandy.....10

Blended Grape Brandy.....10

Brandy.....10

(h)

Methyl alcohol (expressed in terms of g/100 litres of absolute alcohol),

Grape Brandy.....150

Blended Grape Brandy.....100

Brandy.....10

Explanation. - (i) Grape Brandy shall be an alcoholic distillate obtained solely from the fermented juice of grapes.

(ii)

Blended Grape Brandy shall be mixture of at least 2% pure grape brandy.

(iii)

Brandy shall be made from neutral spirit.

D. Specifications for Rum:

(a)

Residue on evaporation, percent (m/v), Maximum:

Rum.....2.0

White Rum.....1.0

Premix Rum.....25

(b)

Total acids as tartaric acid (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Rum.....200

White Rum.....200

Premix Rum.....2000

(c)

Volatile acids as acetic acid (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Rum.....50

White Rum.....50

Premix Rum.....100

(d)

Esters as ethyl acetate (expressed in terms of g/100 litres of absolute alcohol) Maximum:

Rum.....150

White Rum.....150

Premix Rum.....150

(e)

Higher alcohols as amyl alcohol (expressed in terms of g/ 100 litres of absolute alcohol), Maximum:

Rum.....350

White Rum.....200

Premix Rum.....200

(f)

Aldehydes as acetaldehyde (expressed in terms of g/100 litres of absolute alcohol), Max:

Rum.....30

White Rum.....30

Premix Rum.....30

(g)

Furfural (expressed in terms of g/100 litres of absolute alcohol) Maximum:

Rum.....10

White Rum.....5

Premix Rum.....5

(h)

Copper (as Cu), parts per million, Maximum:

Rum.....10

White Rum.....5

Premix Rum.....5

(i)

Methyl alcohol (expressed in terms of g/100 litres of absolute alcohol), Maximum:

Rum.....20

White Rum.....10

Premix Rum.....10

Explanation. - (i) Rum: It is an alcoholic distillate obtained from fermented sugar cane molasses, sugar beet, molasses, sugar cane products and sugar beet products; or any carbohydrate source.

(ii)

White Rum: Rum without colour shall be designated as white rum.

(iii)

Premix Rum: Premix Rum shall be alcoholic beverage made out of Rum and flavourings, with or without colour and with or without added sugar.

E. Specifications for Gin:

(a)

Residue on evaporation, percent (m/v), Maximum:

Gin.....25

Premix Gin.....25

(b)

Volatile acids as acetic acid (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Gin.....10

Premix Gin.....10

(c)

Esters as ethyl acetate (expressed in terms of g/100 litres of absolute alcohol) Maximum:

Gin.....30

Premix Gin.....50

(d)

Higher alcohols as amyl alcohol (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Gin.....100

Premix Gin.....150

(e)

Aldehydes as. acetaldehyde (expressed in terms of g/100 litres of absolute alcohol), Maximum:

Gin.....20

Premix Gin.....25

(f)

Furfural (expressed in terms of g/100 litres of absolute alcohol) Maximum:

Gin.....12

Premix Gin.....12

(g)

Copper (as Cu), parts per million, Maximum:

Gin.....10

Premix Gin.....10

(h)

Methyl alcohol (expressed in terms of g/100 litres of absolute alcohol), Maximum:

Gin.....20

Premix Gin.....10

Explanation. - (i) Gin shall be distilled alcoholic beverage made from neutral spirit with added flavours having characteristics of juniper berries and other botanicals.

(ii)

Premix Gin shall be alcoholic beverage made out of Gin and flavouring with or without colour and with or without sugar.

F. Specifications for Vodka:

(a)

Residue on evaporation, percent (m/v), Maximum:

Vodka.....2

Premix Vodka.....25

(b)

Volatile acids as acetic acid (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Vodka.....10

Premix Vodka.....10

(c)

Esters as ethyl acetate (expressed in terms of g/100 litres of absolute alcohol)Maximum:

Vodka.....50

Premix Vodka.....100

(d)

Higher alcohols as amyl alcohol (expressed in terms of g/100 litres of absolute alcohol, Maximum:

Vodka.....50

Premix Vodka.....100

(e)

Aldehydes as acetaldehyde (expressed in terms of g/100 litres of absolute alcohol), Max:

Vodka.....20

Premix Vodka.....20

(f)

Furfural (expressed in terms of g/ 100 litres of absolute alcohol) Maximum:

Vodka.....12

Premix Vodka.....12

(g)

Copper (as Cu), parts per million, Maximum:

Vodka.....10

Premix Vodka.....10

(h)

Methyl alcohol (expressed in terms of g/100 litres of absolute alcohol), Maximum:

Vodka.....10

Premix Vodka.....10

Explanation. - (i) Vodka shall be the alcoholic beverage possessing the distinctive aroma and taste characteristics of vodka with or without colour/flavour.

(ii)

Premix Vodka shall be alcoholic beverage made out of vodka and flavourings with or without colour and with or without sugar.

Form - DM(1)

(See Rule 5(2)(a))

Application for Issue of Letter of Intent

The Principal Secretary to Government (Revenue (Excise) Department)

Government of Andhra Pradesh,

Hyderabad.

Through the Commissioner of Prohibition and Excise

Sir,

In pursuance of the notification issued by the Government vide I/We.....

R/o.....I/We intend to establish a manufactory for manufacture of Indian Made Foreign

Liquors/expand the production capacity of the existing manufactory as detailed in the following scheme at.....of.....district of A.P.State. I/We, therefore request that the scheme may kindly be examined and necessary sanction accorded as required under Rule 5(2)(c) of Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules 2006.

Scheme

1. (a) Name and address:

(b)

Name and address of the undertaking:

(c)

Whether Public/Private Ltd., or Partnership/ Proprietary concern:

2. Location where the applicant intends to establish the Distillery:

3.

(1)

Nature of manufactory:

(a)

*Whether it is IMFL manufactory utilizing molasses based ENA?

(b)

*Whether it is IMFL manufactory utilizing Grain based ENA?

(c)

*Whether it is IMFL manufactory utilizing both molasses and Grain based ENA?

(d)

*Whether it is IMFL manufactory utilizing ENA obtained from any other fermentative base? (mention the name of the fermentative base)

(2)

*Whether it is the expansion of existing distillery? If so

(i)

Existing licence held by the applicant:

(ii)

Nature of activity:

(iii)

Existing production capacity:

(iv)

Production capacity proposed to be increased:

4. Whether the applicant owns sufficient land at the proposed site: If so the details thereof:

5. Whether the applicant has remitted the non-refundable and non-adjustable fee & Special fee as specified in Rule 5(2)(b)(i) & (ii).

(a)

If so:

(i)

Amount remitted: Rs.

(ii)

Challan No. & Date:

(iii)

Name of the Treasury at which the amount remitted:

(b)

Whether original Challan is enclosed to this application:

6. Proposed Investment Details:

(a)

Capital investment:

(b)

Borrowings:

(c)

Investment on Land:

(d)

Investment on Buildings:

(e)

Investment on Plant and Machinery:

(f)

Working Capital:

7. Whether sufficient water is available at the proposed place:

8. Whether proper power supply is available at proposed place to meet the requirements of the unit:

9. Details of the Raw Materials:

(a)

Quantity and value of raw materials to be imported or of imported origin per year.

(b)

Quantity and value of raw materials if indigenous origin per year.

(c)

Quantity of ENA required per year:

10. Whether the applicant is able to secure the raw material as stated in Col.No. 9 without the aid of the Government:

11. Whether the plant and machinery to be installed is of imported or indigenous and its details:

12. Details of the IMFL Proposed to be Manufactured:

(a)

Name(s) of the IMFL proposed to manufactured:

(b)

Standards of the product(s) proposed to manufacture:

(c)

Brief process of manufacture:

13. Estimated annual production of IMFL in proof litres:

14. Whether the proposed unit will have any buyback arrangement? If so the details thereof:

15. (a) Time required to secure land:

(b)

Time required for erecting plant and machinery:

16. Employment potential of the proposed unit: (Indicate category-wise)

Enclosures:

1.

2.

3.

Date:

Place:

Signature of the applicant.

Address for correspondence:

Sri.....

M/s.....

(*Strike out, which is not applicable!

Form - DM(S)

(See Rule 5(2)(c))

Letter of Intent Government of Andhra Pradesh Revenue (Excise) Department

Lr.No.....

Date.....

From

The Principal Secretary to Government Revenue (Excise) Department A.P.Secretariat, Hyderabad.

To

Sri.....

M/s.....

Sir

Sub:- Prohibition and Excise - Establishment of IMFL Manufactory -Sanction accorded for establishment and working for manufacture of Indian Made Foreign Liquors - orders issued.

Ref: (1) Govt, of A.P.Notification dated.....

(2)

Sri/M/s..... Application dated.....

(3)

Commissioner of Prohibition and Excise reference in CR.No.....dated.....

1. In response to the notification issued in the reference 1st cited, Sri/M/s.....has/ have submitted an application in the reference 2nd cited for sanction of the Government for establishment and working of a IMFL Manufactory or expand the production capacity of the existing unit as required under Rule 5(2)(a) of Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquors other than Beer and Wine) Rules 2006 for Manufacture of Indian Made Foreign Liquors utilizing ENA derived from 8molasses/*Grains/*both molasses and grains/*or from ENA derived from any other fermentative base (mention the name of the fermentative base). The applicant proposes to establish the Unit or expand the production .capacity of the unit at..... at..... District of Andhra Pradesh.

2. In the reference 3rd cited, the Commissioner of Prohibition and Excise, Hyderabad has recommended the proposal.

3. The Government have examined the request of the applicant and the recommendations of the Commissioner. The Government hereby accord sanction for construction and work a manufactory or expansion of the production capacity of the existing unit under Rule 5(2)(c) of Andhra Pradesh Distillery (Manufacture Indian Made Foreign Liquors other than Beer and Wine) Rules, 2006 subject to the following conditions:

(a)

The IMFL shall be manufactured with ENA derived from *Molasses/*Grain/*or both/or from any other fermentative base only.

(b)

The quantity permitted for manufacture per annum shall be.....Lakh Proof Litres only.

(c)

This sanction is accorded without any commitment for allowing import of any machinery' or supply of raw materials.

(d)

This letter of Intent is valid for a period of two year from the date of issue, subject to the condition that the holder shall obtain a licence from the Commissioner of Prohibition and Excise within Six months duly fulfilling the formalities as required under A.P. Distillery (Manufacture of Indian Made Foreign Liquors other than Beer and Wine) Rules, 2006.

(e)

The holder of this Letter of Intent shall fulfill the formalities laid down in the Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquors other than Beer and Wine) Rules, 2006.

(f)

This Letter of Intent shall not, however confer any right or privilege for the grant of a licence and is liable to be cancelled or withdrawn at any time and in such an event, no compensation or damages whatever shall be payable.

Principal Secretary to Government.

Copy to:

The Commissioner of Prohibition and Excise A.P. Hyderabad.

The Commissioner of Industries A.P. Hyderabad.

(*Strike out, which is not applicable)

Form - DM(1)(A)

(See Rule 6(2))

Application for Grant of Licence for Manufactory or Expansion of the Production Capacity of Existing Manufactory To

The Commissioner of Prohibition and Excise A.P. Hyderabad.

Sir,

Sub:- Excise-Establishment of a Distillery for manufacture of Indian Made Foreign Liquors - Scheme approved by the Government Certain request for grant of licence Regarding.

Ref:- Lr.No..... dated..... of Government of A.P.

Kindly peruse the reference cited wherein the Government of Andhra Pradesh accorded sanction for establishment of a manufactory for manufacture of Indian Made Foreign Liquors utilizing Extra Neutral Alcohol derived from

*Molasses/*Grains/*both/*any other fermentative based (mention the name of the fermentative base)/or expansion of production capacity of existing manufactory at.....

As per the orders of the Government as contemplated in the Letter of Intent, we are approaching your good self with the following necessary documents with a request to grant a new licence or accord sanction for expansion of production capacity of existing manufactory at..... under A.P. Distillery Manufacture of Indian Made Foreign Liquors other than Beer and Wine Rules, 2006.

1. Copy of the Letter of Intent.
2. Particulars of land with relevant documents.
3. Blue print of the proposed manufactory.
4. Remittance particulars of initial licence fee under Rule 6(4)(b) (Original challan enclosed)
5. Remittance particulars security deposit under Rule 6(3).
6. No objection certificate obtained from the competent local authority.
7. No objection certificate obtained from the A.P.Pollution Control Board.
8. Undertaking as required under Rule 6(2)(g).
9. Counterpart agreement as required under Rule 6(3).

I/we undertake:

1. to furnish any further plans, estimates or information as required.
2. that in the event of a Licence being granted, we commence/working of the distillery within the period limit prescribed and inform the date by which the plant commences commercial production.
3. to comply in all respects with the provisions of the A. Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006 and the conditions of the License.
4. to pay the licence fee at the rates specified in Rule 8(a) from the date of commencement of commercial production.

This application is within the specified time limit prescribed in the Letter of Intent.

Yours faithfully

Signature of the applicant.

[*Strike out, which is not applicable]

Form - DM-I(C)

(See Rule 6(3))

Counterpart Agreement

This Agreement is made and executed as required under Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006 issued under Andhra Pradesh Excise Act, 1968 this day of... .20... .between Sri.....(hereinafter called the 'Licensee' which expression shall include his heirs, representatives, successors and assignees) on the one part and the Governor of Andhra Pradesh (herein after called the Government which expression shall include his successors in office) on the other part.

Whereas the licensee has applied for a licence for manufacture of Indian Made Foreign Liquors:

And whereas the Commissioner of Prohibition and Excise by virtue of the powers conferred upon him under Rule 6(4)(a) of A.P.Distillery (Manufacture of Indian Made Foreign Liquors other than Beer and Wine) Rules, 2006 granted a licence in FORM-*DM2(M)*DM2 (MGO) for manufacture of Indian Made Foreign Liquor, and whereas the licensee hereby agrees to the same and covenants with the Government as follows:

Now this Indenture Witnesseth:

1. The licensee shall during the subsistence of the licence comply with the conditions of licence and the provisions of Andhra Pradesh Excise Act, 1968 and rules framed there under and any notifications and orders of the Government and Commissioner issued there under.
2. The licensee shall also be bound by the rules that may be made further and other conditions that may be imposed from time to time during the currency of the licence.
3. The licensee shall keep intact a security deposit of Rs. 10 Lakh as laid down in Rule 6(3) for due performance of this agreement.
4. In case of the breach of the term and conditions of this agreement including the conditions of licence it shall be lawful for the Government to cancel the agreement and to forfeit the security deposit without prejudice to any other action that may be taken against the licensee under the Act, and the rules framed there under and also to recover all dues payable as arrears of land revenue under Andhra Pradesh Revenue Recovery Act, 1864 or any other law for the time being in

force in that behalf.

5. The agreement shall commence from the date of sanction or renewal of the licence and shall remain in force till end of the currency of licence.

In witness whereof said Sri..... for and on behalf of the licensee and the Commissioner of Prohibition and Excise, Andhra Pradesh Hyderabad for and on behalf of Governor of Andhra Pradesh have signed this agreement on the date and year hereinabove written in the presence of the following witness:

Witness:

Signature of the Licensee.

1.

2.

Witness:

1.

2.

Signature of the Commissioner for and on behalf of the Governor of Andhra Pradesh.

*Strikeout which is not applicable.

Form - DM2(M)

(See Rule 6(4)(a))

Licence For Manufacture of Indian Made Foreign Liquor Utilising Extra Neutral Alcohol Derived From Molasses

Licence No:

Issued On:

I, Sri.....Commissioner of Prohibition and Excise under the provisions of Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquors other than Beer and Wine) Rules, 2006 and in pursuance of the Letter of Intent bearing No..... dated.....issued by the Government of Andhra Pradesh and on payment of annual licence fee of Rs. 20,000 /- (Rupees Twenty thousand only) Licence you Sri/Ms..... hereinafter called the "Licensee" to manufacture the following varieties of Indian Made Foreign Liquors utilizing Extra Neutral Alcohol derived from molasses.

Sl.No.

Names of the Indian Made Foreign Liquor licensed

for manufacture

Quantity permitted for manufacture per annum

1.

2.

This licence is issued subject to the following conditions:

1. The Licensee shall abide by the provisions of the Andhra Pradesh Excise Act, 1968 and A.P. Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006 and all Rules made under any other law, for the time being in force applicable to the manufacture, storage and issue of Indian Made Foreign Liquors.

2. This licence shall stand revoked in case the licensee fails to erect the manufactory within a period of two years from the date of issue of Letter of Intent.

3. The terms and conditions of this licence may be modified at any time during the currency of this licence.

4. The licensee shall pay the differential licence fee from the date of commencement of commercial production proportionately as per the rates specified under Rule 8(a).

5. A statement showing the number, size, description and capacity of the Vats, tanks, bottling lines which the licensee may erect or maintain under this licence and the plans and statement of the premises and buildings to be used as distillery', storage purpose and for other purposes relating to the Distillery' as approved by the Commissioner shall be annexed to this licence.

6. The licensee, without prior sanction/permission of the Commissioner, shall not:-

(a)

Erect any other Vats, Tanks, Bottling lines, equipment, and machinery other than those approved by the Commissioner.

(b)

Alter, modify or make additions to the building and plant in deviation to the plans approved by the Commissioner.

7. The Licensee shall at all times maintain the efficiency of the plant to the satisfaction of the Commissioner.

8. The licensee shall maintain the registers and furnish the statements and other information as may be required by the Commissioner in the manner specified.
 9. The licensee shall comply with the directions of the Commissioner regarding quality, strength and purity of the spirits licensed for manufacture.
 10. The licensee shall comply with the directions of the Commissioner regarding usage of ingredients of high quality, stocks of spirits and materials to be maintained in day to day functioning of the distillery.
 11. The licensee shall not discontinue working of the distillery (except in case of closure for cleaning or repairs) without giving six months notice in writing to the Commissioner of his intention to cease the work. He shall continue to fulfill the conditions of this licence during the currency of the notice.
 12. The licensee for any reason becomes incapable of carrying on with the operations of the business or dies or becomes insolvent, the Commissioner may either cancel the licence or Continue it in the name of the legal heirs as the case may be.
 13. Upon revocation or cancellation of licence under the preceding conditions, the licensee shall forthwith cease distilling and shall cease to use the building and the plant for the purpose for which they were licensed. Neither the licensee nor any other person shall be entitled to any compensation or damage whatsoever, in respect of revocation or cancellation of the licence.
 14. If the licensee infringes or cause or permit any person to infringe any of the conditions of this licence, the Commissioner shall have the power to suspend or cancel this licence forthwith.
 15. No spirit shall be removed from the distillery without valid permit issued by the competent authority.
 16. The licensee shall have no right to claim any supply of raw materials produced in the State of Andhra Pradesh for manufacture of Indian Made Foreign Liquors.
 17. The licensee shall not act in any manner prejudicial to the interest of the revenues of the Government.
- Commissioner of Prohibition and Excise Andhra Pradesh, Hyderabad.

Form - DM2(G)

(See Rule 6(4)(a))

Licence for Manufacture of Indian Made Foreign Liquor Utilising Extra Neutral Alcohol Derived From Grains

Licence No:

Issued On:

I, Sri....., Commissioner of Prohibition and Excise under the provisions of Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquors other than Beer and Wine) Rules, 2006 and in pursuance of the Letter of Intent bearing No.....dated.....issued by the Government of Andhra Pradesh and on payment of annual licence fee of Rs. 20,000/- (Rupees Twenty thousand only) Licence you Sri/Mshereinafter called the "Licensee" to manufacture the following varieties of Indian Made Foreign Liquors utilizing Extra Neutral Alcohol derived from Grains.

Sl.No.

Names of the Indian Made Foreign Liquor licensed
for manufacture

Quantity permitted for manufacture per annum

- 1.
- 2.

This licence is issued subject to the following conditions:

1. The Licensee shall abide by the provisions of the Andhra Pradesh Excise Act, 1968 and A.P.Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006 and all Rules made under any other law, for the time being in force applicable to the manufacture, storage and issue of Indian Made Foreign Liquors.
2. This licence shall stand revoked in case the licensee fails to erect the manufactory within a period of two years from the date of issue of Letter of Intent.
3. The terms and conditions of this licence may be modified at any time during the currency of this licence.
4. The licensee shall pay the differential licence fee from the date of commencement of commercial production proportionately as per the rates specified under Rule 8(a).
5. A statement showing the number, size, description and capacity of the Vats, tanks, bottling lines which the licensee may erect or maintain under this licence and the plans and statement of the premises and buildings to be used as distillery, storage purpose and for other purposes relating to the Distillery as approved by the Commissioner shall be

annexed to this licence.

6. The licensee, without prior sanction/permission of the Commissioner, shall not:-

(a)

Erect any other Vats, Tanks, bottling lines, equipment, and machinery other than those approved by the Commissioner.

(b)

Alter, modify or make additions to the building and plant in deviation to the plans approved by the Commissioner.

7. The Licensee shall at all times maintain the efficiency of the plant to the satisfaction of the Commissioner.

8. The licensee shall maintain the registers and furnish the statements and other information as may be required by the Commissioner in the manner specified.

9. The licensee shall comply with the directions of the Commissioner regarding quality, strength and purity of the spirits licensed for manufacture.

10. The licensee shall comply with the directions of the Commissioner regarding usage of ingredients of high quality, stocks of spirits and materials to be maintained in day to day functioning of the distillery.

11. The licensee shall not discontinue working of the distillery (except in case of closure for cleaning or repairs) without giving six months notice in writing to the Commissioner of his intention to cease the work. He shall continue to fulfil the conditions of this licence during the currency of the notice.

12. The licensee for any reason becomes incapable of carrying on with the operations of the business or dies or becomes insolvent, the Commissioner may either cancel the licence or continue it in the name of the legal heirs as the case may be.

13. Upon revocation or cancellation of licence under the preceding conditions, the licensee shall forthwith cease distilling and shall cease to use the building and the plant for the purpose for which they were licensed. Neither the licensee nor any other person shall be entitled to any compensation or damage whatsoever, in respect of revocation or cancellation of the licence.

14. If the licensee infringes or cause or permit any person to infringe any of the conditions of this licence, the Commissioner shall have the power to suspend or cancel this licence forthwith.

15. No spirit shall be removed from the distillery without valid permit issued by the competent authority.

16. The licensee shall have no right to claim any supply of raw materials produced in the State of Andhra Pradesh for manufacture of Indian Made Foreign Liquors.

17. The licensee shall not act in any manner prejudicial to the interest of the Revenues of the Government.

Commissioner of Prohibition and Excise Andhra Pradesh, Hyderabad.

Form - DM2 (MGO)

(See Rule 6(4)(a))

Licence For Manufacture Of Indian Made Foreign Liquor Utilising Extra Neutral Alcohol Derived From Both Molasses And Grains Or From Any Other Fermentative Base (Mention The Name Of the Fermentative Base)

Licence No:

Issued On:

I, Sri..... Commissioner of Prohibition and Excise under the provisions of Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquors other than Beer and Wine) Rules, 2006 and in pursuance of the Letter of Intent bearing No..dated.....issued by the Government of Andhra Pradesh and on payment of annual licence fee of Rs. 20,000/- (Rupees Twenty thousand only) Licence you Sri/Ms hereinafter called the "Licensee" to manufacture the following varieties of Indian Made Foreign Liquors utilizing Extra Neutral Alcohol derived from both Molasses and Grains or from any other fermentative based (mention the name of the fermentative base)

Sl.No.

Names of the Indian Made Foreign Liquor licensed

for manufacture

Quantity permitted for manufacture per annum

1.

2.

This licence is issued subject to the following conditions:

1. The Licensee shall abide by the provisions of the Andhra Pradesh Excise Act, 1968 and A.P. Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006 and all Rules made under any other law, for the

time being in force applicable to the manufacture, storage and issue of Indian Made Foreign Liquors.

2. This licence shall stand revoked in case the licensee fails to erect the manufactory within a period of two years from the date of issue of Letter of Intent.

3. The terms and conditions of this licence may be modified at any time during the currency of this licence.

4. The licensee shall pay the differential licence fee from the date of commencement of commercial production proportionately as per the rates specified under Rule 8(a).

5. A statement showing the number, size, description and capacity of the Vats, tanks, bottling lines which the licensee may erect or maintain under this licence and the plans and statement of the premises and buildings to be used as distillery, storage purpose and for other purposes relating to the Distillery as approved by the Commissioner shall be annexed to this licence.

6. The licensee, without prior sanction/permission of the Commissioner, shall not:-

(a)

Erect any other Vats, Tanks, Bottling lines, equipment, and machinery other than those approved by the Commissioner.

(b)

Alter, modify or make additions to the building and plant in deviation to the plans approved by the Commissioner.

7. The Licensee shall at all times maintain the efficiency of the plant to the satisfaction of the Commissioner.

8. The licensee shall maintain the register[^] and furnish the statements and other information as may be required by the Commissioner in the manner specified.

9. The licensee shall comply with the directions of the Commissioner regarding quality, strength and purity of the spirits licensed for manufacture.

10. The licensee shall comply with the directions of the Commissioner regarding usage of ingredients of high quality, stocks of spirits and materials to be maintained in day to day functioning of the distillery.

11. The licensee shall not discontinue working of the distillery (except in case of closure for cleaning or repairs) without giving six months notice in writing to the Commissioner of his intention to cease the work. He shall continue to fulfill the conditions of this licence during the currency of the notice.

12. The licensee for any reason becomes incapable of carrying on with the operations of the business or dies or becomes insolvent, the Commissioner may either cancel the licence or continue it in the name of the legal heirs as the case may be.

13. Upon revocation or cancellation of licence under the preceding conditions, the licensee or his representatives shall forthwith cease distilling and shall cease to use the building and the plant for the purpose for which they were licensed. Neither the licensee nor any other person shall be entitled to any compensation or damage whatsoever, in respect of revocation or cancellation of the licence.

14. If the licensee infringes or cause or permit any person to infringe any of the conditions of this licence, the Commissioner shall have the power to suspend or cancel this licence forthwith.

15. No spirit shall be removed from the distillery without valid permit issued by the competent authority.

16. The licensee shall have no right to claim any supply of raw materials produced in the State of Andhra Pradesh for manufacture of Indian Made Foreign Liquors.

17. The licensee shall not act in any manner prejudicial to the interest of the revenues of the Government.

Commissioner of Prohibition and Excise Andhra Pradesh, Hyderabad.

Form - DM 1 (SL)

(See Rule II(I)(vii))

Application for Grant of Permission For Sub-Lease Of The Indian Made Foreign Liquor Manufactory

To

The Commissioner of Prohibition & Excise,

Andhra Pradesh,

Hyderabad.

Date.....atApplication of M/s.....for grant of permission for sublease in favour of M/s.....

..... for carrying out Manufacture of Indian Made Foreign

Liquor.

1. The undersigned Licensee M/sbeg to apply for permission for sub-lease of M/s..... to Sri/M/s.....in whole/part of the licensed capacity under Rule 11 of A.P. Distillery (Manufacture of Indian Made

Foreign Liquor other than Beer and Wine) Rules, 2006.

2. The proposed sub-lessee desired to manufacture Indian Made Foreign Liquor ofproof Litres proposed to be leased out to the proposed sub-lessee within the licensed capacity of.....Proof Litres of M/s.....

3. In the event of a sub-lease being granted, the sub-lease holder proposes to commence working at the distillery on.....

4. In the event of grant of sub-lease to the proposed sub-lessee, he undertakes to comply in all respects with (a) the provisions of the rules applicable to the industry, its working and (b) the conditions which are entered in the licence.

5. The following documents are furnished:

(a)

The sub-lease deed between the licensee and the proposed sub-lessee on a nonjudicial stamp paper of the requisite value as per the provisions of the Indian Stamp Act, 1899.

(b)

Memorandum of Articles of Association/partnership deed/declaration of sole proprietorship of licensee and sub-lessee.

(c)

List of Directors/Partners of licensee and sub-lessee with their dated signatures.

(d)

Undertaking in Form DM (1) (SLU) on a non-judicial stamp paper of requisite value duly signed by the licensee and sub-lessee.

(e)

Original challan as a proof of having paid 10% of Licence fee.

(f)

F.D.R./B.G. for an amount equal to 15% of the annual licence fee towards security deposit.

6. The applicants undertake to furnish duly registered lease deed within 15 days from the date of grant of permission of sub-lease.

7. The applicant licensee and the proposed sub-lessee severally and jointly undertake to be bound by the A.P.Excise Act, 1968 and A.P. Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006 and other rules under any law for the time being in force applicable to the manufacture, storage, issue and sale of Indian Made Foreign Liquors.

Signature of the applicant (Licensee)

Signature of the proposed sub-lessee.

Form - DM I(SLU)

(See Rule 11(l)(vii)(d))

Sub-Lease Undertaking

(Non-Judicial Stamp paper worth Rupees one hundred)

To

The Commissioner of Prohibition & Excise,

Andhra Pradesh,

Hyderabad.

Sir,

I/We.....S/o.....holder of *DM2(M)/*DM2(G)/*DM2(MGO) Licensee of

M/s.....Distillery, aged about years, resident ofand Sri..... S/o.....proposed sub-lease holder of M/s..... Distillery for whole/part of licensed capacity of the *DM2(M)/*DM2(G)/*DM2(MGO) Licence, hereby undertake:

1. That the sub-lease will be effective from the.....of.....month.....year.

2. The licensed capacity of the Licensee per annum is.....PLs. The Licensee has agreed, to lease out.....PLs to the sub-lessee out of the licensed capacity of..... PLs held by him.

3. That we shall be severally and jointly responsible to abide by the terms and conditions of the licence as laid down in the licence in Form *DM2(M)/DM2(G)/ *DM2(MGO) dated..... and the provisions of A.P. Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006.

4. That we shall jointly and severally abide by the provisions of A.P.Excise Act 1968 and the rules made there under from time to time.

5. That we shall be bound to pay any enhanced licence fee, excise duty, security deposit and any other fee or taxes to be levied from time to time.
6. That, we shall be bound to pay any penalties levied from time to time.
7. That, we hereby agree that the licence is liable to be cancelled on the basis of any adverse report of investigation for any lapse which amounts to contravention of any rule or any conditions of licence or any other provisions of Law and also for any conviction in any criminal case at any time.
8. That the licensee or sub-lease holder will not have any right or claim for continuation or renewal of sub-lease in dependent of the *DM2(M)/DM2(G)/DM2(MGO) licence and in case the licence is cancelled or suspended or any other action taken under excise law, it will automatically attract the sub-lease also.
9. If the licence/sub-lease is surrendered or cancelled in the middle of the licence period, we shall not be eligible for refund of Licence Fee.
10. That, if we fail to pay the Excise Duty, Penalties etc., if any due to Government on time, the licence is liable to be cancelled and the entire amount so due, without prejudice to any other mode of recovery, may be recovered from the security deposit and also by way of restraining our movable and immovable property whatsoever we possess and selling the said properties under the Andhra Pradesh Revenue Recovery Act.
11. We declare that we have not been convicted of any offence under A.P. Excise Act.
12. That we shall maintain separate registers of accounting etc., as required under Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006.
13. We shall not have any claim for any increase in the licensed capacity on account of permission granted for sub-lease.
14. We shall be responsible for utilization/disposal as per Andhra Pradesh Distillery (Manufacture of Indian Made Foreign Liquor other than Beer and Wine) Rules, 2006 of the balance stock of ENA/other Liquors that remain at the end of the lease period.

Place :

Signature of Licensee

Date :

Proposed sub-lease holder.

Form - DM3

(See Rule 12(1))

Application for Shifting of the Existing Indian Made Foreign Liquor Manufactory

1. (a) Name of the Distillery:

(b)

Name(s) & address of the Partner/Board Directors:

(c)

Whether Public/Private Ltd. or Proprietary concern:

2. (a) Details of existing premises with Survey No. etc.:

(b)

Details of total existing area and constructed area:

(c)

Details of existing man power:

(i)

Office Staff:

(ii)

Technical Staff:

(iii)

Supervisory Staff:

(iv)

Permanent workers:

(v)

Temporary workers:

3. Details of Existing plant and Machinery:

(a)

Existing Machinery:

(b)

Capacity of Machinery:

(c)

Existing Production capacity:

4. Reasons for shifting:

5. Details of proposed premises:

(a)

Address with Survey No.

(b)

Details of availability of water and power requirement.

(c)

Details of man power requirement at new site and availability

6. Details of clearance from the following Government institutions:

(a)

Competent Local authorities:

(b)

A.P. Pollution Control Board:

(c)

Competent authority under Factories Act:

7. Details of Plant and Machinery to be shifted to new premises:

8. Details of shifting Fee remitted:

Signature of the applicant with date

Form - DM(3)(M)

(See Rule 13(4)(1))

Application for Merger of Two Indian Made Foreign Liquor Manufactories

1. Name and address of the Distillery proposed for merger:

2. Whether Proprietary/Partnership concern/Limited Company:

3. Nature of Licence held:

4. Whether the licence is in force:

5. No. of bottling lines existing (Specify the details of Auto-lines & Semi-auto lines):

6. Production capacity of the Distillery as fixed by the Commissioner:

7. Annual Licence fee:

8. Reasons for merger:

9. Name and address of the taking over distillery:

10. Whether proprietary/Partnership concern/Limited Company:

11. Nature of licence held by the taking over distillery.

12. Whether the licence is in force:

13. No. of bottling lines existing (Specify the detail of Auto-lines & Semi-auto lines).

14. Production capacity of the taking over distillery as fixed by the Commissioner:

15. Annual Licence fee:

16. Whether the licensee of the distillery proposed for merger continue as a partner/Director even after merger:

17. Cumulative production capacity after merger:

18. Cumulative Licence fee of both the distilleries:

19. Licence fee payable according to the cumulative production capacity:

20. Whether the taking over distillery is willing for the liabilities of the distillery proposed for merger:

Signature of the licensee of the Distillery proposed for merger.

Signature of the licensee of the Taking over Distillery.

Form - DM4

(See Rule 14(15))

Account of Spirit Received and Used for Bottling in Indian Made Foreign Liquor Manufactory

(To be maintained tank-wise for each variety of spirit)

Storage Tank No.....

Date

Opening Balance

Dispatch details of supplying Distillery

Qty. actually received

Bulk Ltd

Strength

Proof Ltd.

CPE allotment Order No. and date

CPE. T.P.No. & Date

Name of the supplying Distillery

T.P. No. & Date

Bulk Lts.

Strength

Proof Lts.

Bulk Lts.

Strength

Proof Lts.

1

2a

2b

2c

3a

3b

3c

3d

3e

3f

3g

4a

4b

4c

Total Stock

Transit Loss

Bulk Lts.

Strength

Proof Lts

Bulk Lts.

Proof Lts.

5a

5b

5c

6a

6b

Issued for Blending

Indent No. Date

Blending Tank No.

Bulk Ltrs.

Strength

Proof Ltrs.

Brand Name

Category

Batch No.

7a

7b

7c

7d

7e

7f

7g

7h

Storage Loss

Closing Balance

Bulk Lts.

Proof Lts.

Bulk Lts.

Strength

Proof Lts.

Signature of the D.O.

Remarks

8a

8b

9a

9b

9c

10

11

Form - DM5

(See Rule 16(1))

Application for Approval of Brand Label

1. Name of the applicant:

2. Full address:

3. Details of Licence held:

4. Status of the Distillery (Whether partnership concern, proprietary or, Company)

5. Full address of the distillery:

6. Brand name for which approval of Label sought for:

7. Size of the brand:

8. Details of payment of Label approval fee:

9. Whether the same label has been approved in the previous year, if so the details of reference No. & date.

Signature of the applicant.

Form - DM6

(See Rule 21(13))

Daily Account of Liquor Produced

No. of cases bottled

Quantity Bottled

Manufacturing Loss

Date

Brand of Liquor

Category

Batch No.

Strength

750 ml

375 ml.

180 ml

90 ml

Bulk Lts

Proof Lts.

Bulk Lts

Proof Lts.

Percentage loss in Pls.

Signature of the D.O.

Remarks

1

2

3

4

5a

5b

5c

5d

5e

6a

6b

7a

7b

8

9

10

Form - DM7

(See Rule 24(8))

Transport Permit for Removal and Transportation of Indian Made Foreign Liquor from the Manufactory

Distillery T.P. No..... Date.....

1. Name of the Distillery (Consignor):

2. Name of the IML Depot (Consignee):

3. Purchase or No. & Date:

4. Details of IMFL dispatched:

Brand Name

Category

Batch No.

Strength

Size of the Bottles

No. of cases

Bulk Lts.

Proof Lts.

Excise Duty

750ml

375ml

180ml

90ml

5. Date and time of dispatch:

6. Validity period: From (Date & Time) Upto (Date & Time):

7. Vehicle No:

8. Route: (Names of all important towns & villages to be mentioned):

9. Excise Duty remittance details: Challan No. date: Amount Rs: Treasury/Bank

10. Cost of EAL remittance details: Challan No. Date: Amount Rs: Treasury/Bank

11. Details of EALs affixed on the bottles:

Brand Name

Category

Batch No.

Strength

Size of the bottles

No. of cases

EALs Details

Code No.

Series No.

Serial No. from

Serial No.To

Signature of the Distillery officer M/s.....

* Original copy to be retained with the distillery officer.

* Duplicate copy to be dispatched to the Excise officer in-charge of IML depot (Consignee).

* Triplicate copy to be dispatched to the Excise Superintendent concerned where IML depot is situated.

* Quadruplicate copy to accompany the consignment during transit.

* Quintuplicate copy to be dispatched to the Assist. Commissioner (Enft) concerned to the destination point.

* Sixth copy to be dispatched to the Director of Proh. & Excise (Enft) A.P. Hyderabad.

Related AI tags, queries and research notes

Translation